



कर्मचारी भविष्य निधि संगठन
(श्रम एवं रोजगार मंत्रालय, भारत सरकार)
EMPLOYEES' PROVIDENT FUND ORGANISATION
(Ministry of Labour & Employment, Govt. of India)
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No. C-III/4(208)2011/HQ

Dated: 11 OCT 2011

To

All Addl. Central P.F. Commissioners (Zones)
All RPFs (In - Charge of Region/SRO)

Sub: - Review of long pending 7A/14B cases and initiation of coercive action against defaulting establishments - observations of the Committee on Petitions.

Sir,

Attention is invited to various circulars containing instructions for processing cases initiated u/s 7A/7B/7C/14B and initiation of penal action/filing of prosecution against those establishments who commit default in submission of statutory returns/remittance of dues.

On review of the position reflected in the D.O. Narrative on Compliance Parameters, it has been observed that in a large number of cases proceedings u/s 7A are continuing for more than one year or two. This shows that desired focused and sincere efforts are yet to be taken in order to liquidate the pendency in concluding the proceedings launched u/s 7A/7B/7C/14B.

Likewise in cases where compliance is not achieved under various provisions of the Act and dues remain unrealized despite all efforts, coercive action like prosecution u/s 14 of the EPF & MP Act and filing FIR u/s 406/409 of Indian Penal Code becomes necessary. With half of the financial year left in hand, requirement for extra efforts and fixing accountability to achieve the target has become essential in order to meet the deadline. Hence, steps should be taken to ensure that all 7A/7B/7C/14B cases pending for more than one year are disposed off before 31.12.11. For this purpose monitoring mechanism to watch the development in 7A/14B matters as well recovery matters should be strengthened by conducting the monthly review. Therefore, following directions are reiterated to achieve the targets expecting due participation and responsibility of all concern:

Initiation of disposal of 7A/14B cases

- (i.) Proceedings initiated u/s 7A/14B of the EPF & MP Act should be concluded within a specified time. Cases where the employers have committed defaults after giving regular compliance for some time, proceedings initiated after a long gap of time and allowing these to continue for a considerable long time by granting too many adjournments should be avoided.
- (ii.) Normally all hearings u/s 7A & 14B cases should be completed within 3 months. In any case at the end of the financial year, no case should be pending for more than six months. Where the inquiry could not be completed within a

period of six months the Assessing Officer should record reasons for such non completion of the hearing and report of same should be submitted to next superior officer.

- (iii.) Once regular hearing is started, it should be completed expeditiously without giving unnecessary adjournments. The power to grant adjournment should be exercised very sparingly and that too where such adjournments becomes absolutely necessary in exceptional cases and for reasons to be recorded in writing. Adjournments should be for short periods as may be necessary having regard to the facts and circumstances of each case. Normally adjournment may be for 7 days and in no circumstances it should be for more than 15 days.
- (iv.) It may be more purposeful generally if the inquiries u/s 7A are initiated after obtaining report from the Enforcement Officers and / or sufficient material is available on record so that in the case of non-cooperation by the establishment, the Assessing Officer may be able to pass ex-parte order, except in circumstances specially recorded for initiating 7A without Enforcement Officer's report.
- (v.) The Assessing Officer should deliver the speaking Order on the day on which hearing is concluded; where it is not possible as such it should be ensured that it is done on a fixed time and date within one week.
- (vi.) The position of initiation and disposal of 7A/14B should be reviewed on monthly basis by the RPFC-I and ACC (Zone).
- (vii.) In order to ensure that inquiries u/s 7A/14B may not become a tool to provide opportunities for indulging in malpractices contents of the circular letters No. RRC/28(31)07/53677 dated 17.10.07 & Vig. XXV(02)2000/3017 dated 04.08.2010 are reiterated for strict compliance and the authorities specified therein must carry out supervisory checks in letter and spirit.

Initiation of penal action and filing of prosecution

Penal action in terms of filing prosecution u/s 14 of the EPF & MP Act against major and chronic defaulters and u/s 406/409 of the IPC in all cases of defaults will improve the current compliance position as well as recovery of dues. Position of these cases should be reviewed on monthly basis by the RPFC-I/ACC (Zone)

(This issues with the approval of Central PF Commissioner)

Yours faithfully,



(K.C. Pandey)

Addl. Central P.F. Commissioner (Compliance)

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